



Skift



- ☐

News

- Latest News
 - [Travel News](#)
 - [Travel Megatrends 2024](#)
 - [Ask Skift AI Search](#)
 - [Global Travel Outlook 2024](#)
- News By Sector
 - [Hotels](#)
 - [Tourism](#)
 - [Online Travel](#)
 - [Airlines](#)
 - [Short-Term Rentals](#)
 - [AI](#)
 - [Tour Operators](#)
 - [Business Travel](#)
 - [See All Sectors](#)
- Stay Connected
 - [Free Skift Newsletters](#)
 - [Skift Podcasts](#)
 - [Airline Weekly News](#)
 - [Skift Meetings News](#)
 - [Daily Lodging Report](#)

Skift Pro

Access exclusive travel
research, data insights,
and surveys

[Subscribe Now](#)

- ☐

Events

- Upcoming Events
 - [Skift Data + AI Summit](#)
 - [Short-Term Rental Summit](#)

- [Skift Global Forum](#)
 - [View All Events](#)
- Event Information
 - [Subscriber Access](#)
 - [Sponsorship Opportunities](#)
 - [Frequently Asked Questions](#)
 - [Event Highlights](#)
- ☐
- [Research](#)
 - Latest Research
 - [India's Travel Booking Landscape](#)
 - [The Past, Present and Future of Online Travel](#)
 - [The Challenge With Long-Haul, Low-Cost Airlines](#)
 - Research By Sector
 - [Tourism](#)
 - [Technology](#)
 - [Hospitality](#)
 - [Consumer Habits](#)
 - [See All Sectors](#)
 - Featured Tools
 - [State of Travel 2023](#)
 - [Skift Travel 200](#)
 - [Short-Term Rental Top 250](#)
 - [Travel Health Index](#)
 - [Hotel Tech Benchmark](#)

Skift Research

Access exclusive travel
research, data insights,
and surveys

[Subscribe Now](#)

- [Advertise](#)
- [Get Access](#)



 [Login](#)



Free stories left to read

Skift Pro subscribers get unlimited access to essential travel industry news

See My
Offer

[Short-Term Rentals](#)

NYC Hotels Stand to Gain From Short-Term Rental Crackdown. Here's How Much

Srividya Kalyanaraman, Skift

February 27th, 2024 at 12:41 PM EST

Skift Take

Meanwhile, listings are down and revenue per room is up for short-term rentals.

— *Srividya Kalyanaraman*

Share



At the Skift Global Forum last year, Airbnb CEO Brian Chesky predicted hotel rates would rise in New York City as a result of Local Law 18 – which Airbnb has called a “de facto ban” on short-term rentals.

The hotel industry, which supported the law, should see significant benefits from increased demand. How much?

About \$380 million this year, according to a new report by real estate firm JLL. The report revealed that hotels in New York City could book an additional 2.2 million nights this year.



Dwell Newsletter

Get breaking news, analysis and data
from the week’s most important
stories about short-term rentals,
vacation rentals, housing, and real
estate.

Email*

Sign Me Up

Local Law 18 went into effect in September 2023 and requires hosts to register with the city, imposes restrictions on rental durations, and mandates hosts to be present during stays. The law also aims to curb illegal hotels and short-term rentals.

Hotels Gain

That hotels stand to gain from 70% of Airbnb listings disappearing is not surprising. But there are other factors at play here.

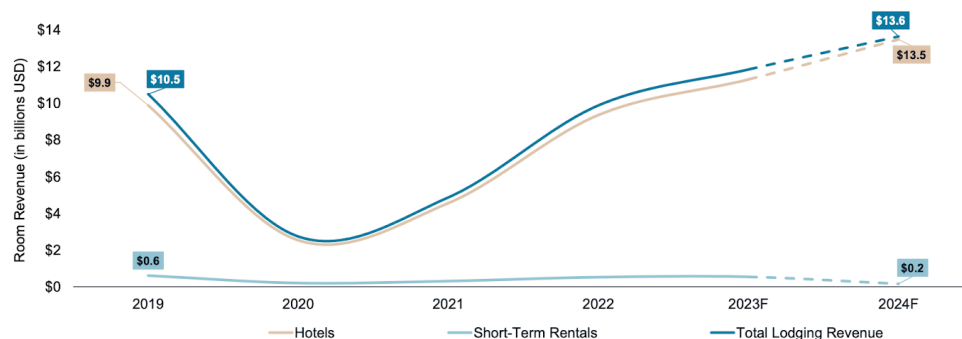
- Nearly 62 million visitors came to the city in 2023, including 9.4 million international visitors. International visitor arrival is expected to surpass the 2019 peak by the end of 2024. According to New York City Tourism, the city is on track to welcome 64.5 million visitors this year.
- After a decade of historic growth, the hotel supply in New York City is expected to grow at a slower average annual rate of 1.6% over the next three years, JLL found. This means occupancy rates and revenue for existing hotel supply would rise.
- The JLL report also found that in 2023, hotel transaction volume in New York City surged to \$3.3 billion, marking the highest total since 2016. There were 34 hotel transactions in 2023, marked by sale of luxury hotels including Park Lane Hotel and three different Hilton brands.
- Foreign capital, led by Asian and Middle Eastern investors, have become the primary acquirer of hotel assets after nearly three years of subdued activity. These investor groups are expected to maintain their interests, especially in the luxury segment.

Hotels in NYC Stand to Gain \$380 Million in Revenue

NYC hotels to gain \$380.4 million in revenue following Local Law 18

Look for NYC hotels to gain up to \$380.4 million in revenue following the enforcement of Local Law 18 as travelers will still require accommodations and short-term supply is expected to decline significantly. This could result in up to \$7.35 in incremental RevPAR for the hotel market, pushing the city to levels not seen since prior to the GFC.

NYC lodging revenue, 2019 – 2024F



Source(s): JLL Research, AllTheRooms, CoStar/STR. Short-term rental data includes both Airbnb & VRBO (data has been de-duplicated).

Note(s): 2023F & 2024F is from CoStar/STR for hotels & AllTheRooms for short-term rentals. For purposes of this exercise, we are assuming that reduction in short-term rental supply and associated increase to hotel demand will not occur until 2024 even though Local Law 18 took effect on Sept 5, 2023. Assumption is that 70% of existing (at year-end 2023) STR supply will cease to exist and will convert to hotel demand at the same Occupancy & ADR levels as it previously existing in STR space.

15 | © 2023 Jones Lang LaSalle IP, Inc. All rights reserved.



Short-Term Rental Impact

The demand for hotel nights is supported by a drop in listings for rentals. Less than six months since Local Law 18 was passed, long-term rentals (of 30 days and longer) make up 90% of short-term rental supply in New York City. AirDNA data showed that the total available listings in January 2024 (both short- and mid-term, entire place as well as private and shared rooms) were 47% below January 2019.

That said, AirDNA data found that RevPAR has actually increased in New York for rentals since both 2019 and annually. RevPAR in January 2024 was \$126.55, up 48% from January 2023 and a 90% hike from January 2019.

Impact of Local Law 18 on Short-Term Rental Supply in NYC



And New York City's loss boosted two New Jersey cities, Newark and Jersey City. AirDNA data showed a decline of 46.1% in demand growth in December last year in New York City. Conversely, Jersey City and Newark experienced a surge in demand, with a growth rate of 53.7%.

And as Chesky said at the Skift Global Forum last year: "Next year, I predict hotel rates will be more expensive, and the reason why is they're not going to be building 20,000 more hotel rooms, so it's going to be more expensive to stay in New York, and I think that's unfortunate because it'll be a little less accessible."

Share



Have a confidential tip for Skift? [Get in touch](#)

Srividya Kalyanaraman, Skift

February 27th, 2024 at 12:41 PM EST

Tags: [airbnb](#), [local law 18](#), [new york city](#), [short-term rentals](#)

Photo credit: The Hyatt Grand Central in Midtown Manhattan. Source: Hyatt [Hyatt](#)

Next Story →

1

Free stories left
to read

Support high-quality
journalism covering the
travel industry

Subscribe to
Skift Pro

Already a subscriber?
[Login](#)



What Does the Future of Lodging Look Like?

Get the latest news about hotels and short-term rentals delivered to your inbox once a week.

Email*

Submit

Up Next

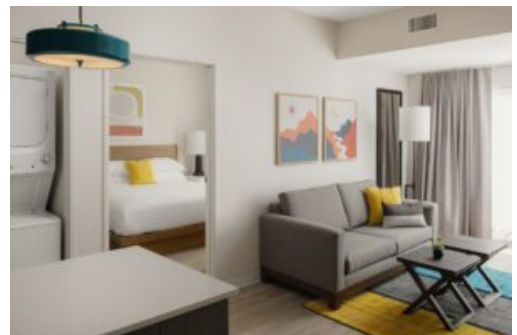
1

Hotels

Wyndham Adds 25th Brand, Hybrid of Hotels and Short-Term Rentals

Unfinished hotel rooms are something new for a major hotel group. That's what Wyndham is offering in roughly 40% of the rooms of its newest brand.

Sean O'Neill | 2 hours ago



2

Short-Term Rentals

Airbnb Makes Changes to Its Cancellation Policies

Today's podcast looks at Airbnb's new weather policies, Marriott's new urban timeshares, and Las Vegas' new route from London.

Rashaad Jorden | 4 days ago



3

Hotels

NEOM Reveals 3 Habitas Hotels at Its New Leyja Destination

NEOM has announced a strategic partnership with hospitality group Our Habitas, introducing three flagship properties at its newly launched valley destination.

NEOM + Skift | 1 month ago



Free Read

4

Short-Term Rentals

Hurricanes But Not Flu Outbreaks: Airbnb Revises Cancellation Policy

Airbnb's new cancellation policy will cover hurricanes — if they trigger government travel bans. But if there is a flu warning in the U.S., a malaria emergency in Thailand, or a Covid-19 outbreak, these situations would not be covered.

Dennis Schaal | 5 days ago



Special Offer: Choose From Quarterly, Annual, or Two-Year Skift Pro Subscription Plans

1 of 2 free stories left to read

Find the Plan That Fits

01 **Travel Sectors**

02 **Skift Brands**

03 **About Skift**

Follow Us

Facebook Instagram Whatsapp X LinkedIn YouTube Email

Help Center

Share a News Tip